

# Vendor Repair Agreement

## VRA-2025-002

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**Document ID:** VRA-2025-002

**Effective Date:** November 15, 2024

**Term:** Open-ended; activated per-event under EPA-2024-11

**Agreement Type:** Emergency Procurement Authorization — Vendor Repair Agreement

**Parties:** Cascadia Renewable Operations LLC ("Operator") and Apex Emergency Grid Solutions, LLC ("Apex" or "Contractor"), a Nevada limited liability company.

**Governing Authority:** Emergency Procurement Authorization Policy EPA-2024-11 (November 2024), which permits bypass of competitive bid when mobilization inside a 4-hour window is required to preserve grid availability or prevent cascading equipment damage.

**Governing Standard (post-activation work):** Cascadia Mechanical Standard MS-2025-03.

**Distribution:** Procurement; Office of the CFO; NW-PowerPool Operations; CAISO Operations; Internal Audit; Apex Account Director.

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## Preamble

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This Vendor Repair Agreement establishes the terms under which Apex Emergency Grid Solutions may be activated as an emergency contractor when the preventive-maintenance partner under VRA-2025-001 (Cascadia Power Services Inc.) cannot mobilize inside the 4-hour window prescribed by EPA-2024-11.

**Activation History (FY2025).** As of the date of this revision, this Agreement has been invoked **eleven (11) separate times in FY2025**, with cumulative invoiced value of approximately **\$8.3M**. The frequency of activation has been flagged by Internal Audit under CAR-2025-006 and is the subject of the renewal-risk discussion currently before the VP, Asset Management. The pattern of repeated activation against the same two NW-PowerPool-WIND-024 turbines (WIN-10131 and WIN-10011) is documented in OIR-2025-003 and OIR-2025-007.

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## Section 1 — Scope of Services

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**1.1 Authorized Scope.** Contractor shall provide emergency mobilization, diagnostic, and corrective services on Operator's wind, solar, substation, and transformer assets when activated under EPA-2024-11. Authorized scope includes:

- (a) Emergency diagnostic and root-cause field assessment;
- (b) Emergency component repair or replacement to restore generation availability;
- (c) Temporary protective measures pending follow-on scheduled remediation;
- (d) Coordination with OEM warranty technicians where applicable (notably Siemens Gamesa OEM service — see Section 1.3).

**1.2 Activation Trigger.** Contractor shall only be activated in writing by an Operator employee at the Regional Director level or above, citing the specific EPA-2024-11 activation case number. Verbal activation is permitted under extraordinary circumstances but must be documented in writing within 24 hours.

**1.3 OEM Subcontracting.** Contractor is authorized to subcontract Siemens Gamesa OEM service technicians where the affected asset is under Siemens Gamesa OEM warranty (see VRA-2025-005 and VTM-SIEMENS-GAMESA-4-2). Subcontracted OEM technician rates are billed at 1.8× the rate paid by Contractor to the subcontractor, plus Contractor's labor for project coordination at the standard rate below.

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## Section 2 — Rate Schedule

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**2.1 Hourly Labor Rate. \$420.00 per technician-hour**, fully burdened, inclusive of mobilization, supervision, and standard tooling. Two-hour minimum per dispatch.

**2.2 Premium Multipliers.**

- (a) Weekend / holiday: **1.5×** the standard hourly rate (i.e., \$630.00 per technician-hour);
- (b) Overnight (after 22:00 local through 06:00 local): 1.25× standard rate;
- (c) OEM-subcontracted labor: 1.8× pass-through (see §1.3).

**2.3 Parts Mark-Up. 35% on documented invoice cost of parts**, materials, and consumables procured by Contractor for the emergency. Higher than the comparable rate under VRA-2025-001 (8%); justified by emergency-procurement carrying cost and same-day logistics premium.

**2.4 Mobilization Fee.** Per-event mobilization fee of \$35,000 per crew, billed at activation, non-refundable. Travel within continental U.S. included.

**2.5 No Annual Escalation Cap.** Rates may be revised at Contractor's discretion on 60 days' notice. As of this revision, rates have been held at the November 2024 levels.

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## Section 3 — Service Level Agreement

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**3.1 Mobilization Time.** Contractor shall have a fully-equipped first-response crew on site **within four (4) hours** of written activation for any site in the continental U.S. This

is the operative SLA underpinning the EPA-2024-11 emergency-procurement justification.

**3.2 Diagnostic Response.** Field-level preliminary diagnostic report within 12 hours of arrival on site.

**3.3 No Outage-Reduction Commitment.** Contractor makes no representation or warranty regarding reduction in forced-outage frequency or duration at Operator's facilities. Contractor's scope is reactive only.

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## Section 4 — Approval & Authorization Workflow

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**4.1 Activation Authority.** Activation under this Agreement requires written authorization citing EPA-2024-11. The activating Operator official must be at or above the Regional Director level. Each activation is tracked in the EPA Activation Log maintained by Procurement.

**4.2 Cost-Threshold Approvals.** Emergency invoices exceeding \$500,000 require ratification by the VP, Asset Management within 30 days of receipt. Invoices exceeding \$1,000,000 require ratification by the CFO. As of the date of this revision, **seven (7) of the eleven FY2025 activations** have produced invoices above the \$500,000 ratification threshold.

**4.3 No Refurbishment Mandate.** Contractor is not bound by Standard MS-2025-03 §4.2 refurbishment-first language during the emergency response phase. Replacement recommendations issued by Contractor are advisory and must be ratified through a Repair Approval Memo (RAM) before any replacement-class capital is committed. See RAM-2025-003 (denied) and RAM-2025-004 (approved) for FY2025 examples.

**4.4 Handover.** Upon stabilization of the emergency, follow-on remediation reverts to VRA-2025-001 scope where applicable. Contractor shall produce a written handover document within 7 days.

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## Section 5 — Performance Metrics

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**Not applicable.** This Agreement contains no performance metrics tied to outage reduction, asset reliability, MTBF, or schedule adherence. Internal Audit has noted, in CAR-2025-006, that the absence of outcome-based performance metrics in an emergency-procurement instrument creates a financial structure that does not reward avoidance of the emergencies. That observation is acknowledged here; reform of the Agreement structure is contemplated under MOC-2025-031 (pending).

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## Section 6 — Limitations, Exclusions, Termination

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**6.1 Exclusions.** This Agreement does not cover:

- (a) Scheduled preventive maintenance (covered by VRA-2025-001);
- (b) OEM warranty work performed directly by Siemens Gamesa under VRA-2025-005 (Contractor may coordinate but may not perform such work absent subcontracting per §1.3);
- (c) Capital projects.

**6.2 Concurrent Engagement.** Operator reserves the right to engage other emergency contractors in parallel where capacity warrants.

**6.3 Termination.** Either party may terminate on 90 days' written notice. Operator retains immediate termination right for documented over-billing, safety incident, or material breach.

**6.4 Audit Right.** Operator may, on 10 business days' notice, audit Contractor's labor records, parts invoices, and subcontractor pass-through documentation for any activation. Three activations were audited in 2025; results referenced in CAR-2025-006.

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## Closing

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### Authorized Signatures

*For Cascadia Renewable Operations LLC:*

VP, Asset Management — signed November 15, 2024.

*For Apex Emergency Grid Solutions, LLC:*

Senior Vice President, Field Operations — signed November 15, 2024.

### Attachments:

- Attachment A: EPA-2024-11 policy (controlled reference)
- Attachment B: Activation Log template
- Attachment C: Insurance certificates
- Attachment D: Approved Subcontractor List (Siemens Gamesa OEM service included)

### Cross-References:

- EPA-2024-11 (governing emergency procurement policy)
- VRA-2025-001 (CPS preventive partner — handover interface)
- VRA-2025-005 (Siemens Gamesa OEM service; subcontracting basis)
- CAR-2025-006 (audit observations on FY2025 activation pattern)
- OIR-2025-003, OIR-2025-007 (NW-PowerPool-WIND-024 repeat activations)
- MOC-2025-031 (pending reform of emergency-vendor performance structure)